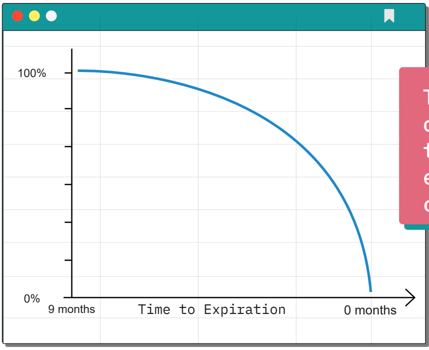
2) TIME DECAY

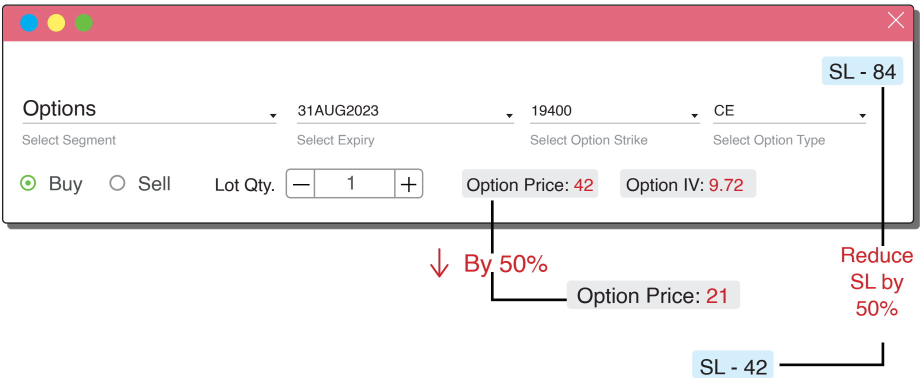


> Time decay works in the favor of option sellers. For option buyers, time decay causes a loss in the extrinsic value of an option contract.

Options selling provides a method for traders to take high probability trades and earn consistent income. These advantages make it an attractive alternative to buying options which have lower odds of profitability comparatively. Now let's talk about the Multi Time Option Strategy.

MULTI TIME OPTION STRATEGY

This option selling strategy involves selling out of money Nifty weekly calls and puts that are priced anywhere around Rs. 40. Our initial stoploss will be set at 100% of the premium received. Meaning, if we sell a call option for Rs. 42, our initial stoploss would be placed at Rs. 84. Conversely, if we sell a put option at Rs. 45, our initial stoploss would be Rs. 90.



Once the trade starts turning in our favor and the option premium declines by 50% from the entry price and we will reduce the stoploss by 50%. For example, if the call option's premium drops to Rs. 21, we will trail our stoploss from Rs. 84 to Rs. 42. This helps in minimizing risks and locks in the potential profit.

Another rule for this strategy is that all the trades will be exited by 3:15 p.m. on the day of entry. We are not going to hold any contracts overnight as this is not a rollover strategy.